

# Complete Guide to Market Regime Indicators

From theory to practice



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## Why Bitcoin Can No Longer Be Analyzed in a Vacuum

The times when Bitcoin moved according to its own laws, independently of traditional markets, are in the past. Since the launch of spot ETFs in January 2024 and the massive influx of institutional players, BTC has finally transformed from a niche asset into a full-fledged element of the global financial system. Today, Bitcoin reacts to Fed decisions faster than many tech stocks, falls together with Nasdaq when bond yields rise, and soars on expectations of monetary policy easing. BTC's correlation with the S&P 500 in 2025 regularly exceeds the baseline threshold - this means that crypto has become part of a unified risk-on / risk-off cycle, where liquidity, interest rates, and macroeconomic data rule.

On-chain metrics - MVRV, active addresses, exchange outflows, realized price - remain important for understanding holder behavior and short-term supply-demand imbalances. But they no longer provide the complete picture. When the Fed raises or lowers rates, no Coinbase outflows will show you the correct movement pattern. When DXY strengthens on geopolitical stress and real yields go up, Bitcoin falls regardless of what on-chain metrics show. Moreover, in 2026 we'll enter a phase where traditional funds will manage a significant portion of BTC, and their decisions are made not based on on-chain data, but on macro models, correlation matrices, and risk parity strategies.

**The conclusion is simple:** if you want to stay ahead of the market rather than react after the fact, you need to learn to read the same signals that institutional players read. Understanding how Treasury yields move, what curve inversion means, where VIX is pointing, and how to interpret inflation data - this is no longer "nice to have," but a basic necessity for any serious crypto market participant. That's exactly why we're launching this guide series: to give you the tools for reading macro context in real-time and turn you into a proactive analyst who sees trend reversals weeks before they become obvious to everyone else.

## Who This Material Is For

If you manage a portfolio, trade derivatives, or simply want to understand **why** markets move the way they do - this guide is for you. We'll break down the indicator system

used by professional macro traders and multi-asset funds to determine market regime in real-time.

**Goal:** Learn to determine in 3-5 minutes each morning:

- What regime the market is in (risk-on / risk-off / transition)
- What type of risk dominates (inflationary, recessionary, political)
- Where the “wind of liquidity” and capital flows is blowing
- How sustainable the current trend is and when to expect a reversal

## Part 1: Core Indicators (Core 5)

This is the foundation of your monitoring system. Without them, it’s impossible to build a complete picture.

### 1.1 Government Bond Yields



**What we look at:**

- 10Y US Treasury (main benchmark)
- 10Y Bund (Europe)
- 2s10s spread (yield curve shape)
- 10Y TIPS real yield (real yield)

**How to interpret:**

**Rising yields (yields ↑):**

- Tightening financial conditions

- Rising cost of capital for business
- Negative for long duration assets (growth stocks, crypto)
- **BUT:** the reason matters!
  - Rising on strong growth data → stocks can rise together with them
  - Rising on inflation fears → pressure on all assets
  - Rising on central bank sales (QT) → structural headwind

#### Falling yields (yields ↓):

- Easing conditions / flight to quality
- **BUT:** again, look at the reason!
  - Falling on expectations of Fed cuts with strong economy → support for risk assets
  - Falling on recession fears → risk-off, despite low rates

#### Curve shape (2s10s spread):

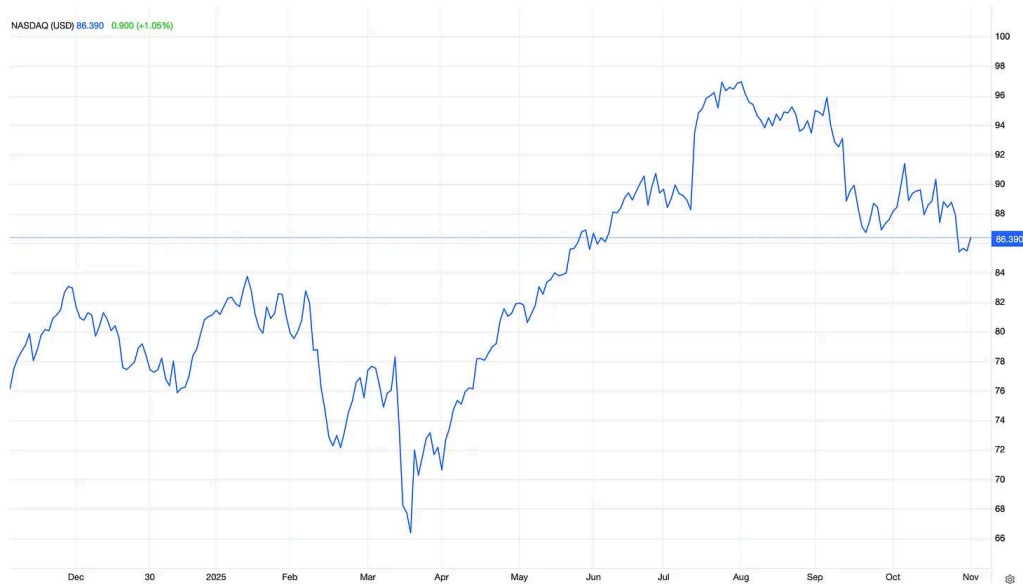
- **Normal curve** (2s10s = +100-150 bps): healthy growth expectations
- **Flat** (2s10s = 0-50 bps): uncertainty
- **Inversion** (2s10s < 0): market expects recession in next 12-18 months
- **Steepening after inversion:** often portends the start of an actual stress period

#### Real yields (TIPS):

- Real yields ↑ with falling inflation → strong negative for gold, moderate for stocks
- Real yields ↓ → support for all risk assets

**Practical example (2022):** 10Y UST rose from 1.5% to 4.3% on aggressive Fed cycle. Real yields went from -1% to +1.5%. Result: S&P 500 -18%, Nasdaq -33%, BTC -65%. Classic “rising rates kill everything” regime.

## 1.2 Stock Indices and Market Breadth



### What we look at:

- **Major indices:** S&P 500, Nasdaq 100, Russell 2000, EuroStoxx 50, Nikkei 225
- **Breadth indicators:**
  - Advance/Decline Line
  - % of stocks above 50-day MA and 200-day MA
  - New Highs - New Lows
  - Sector rotation (leadership changes)

### How to interpret:

#### Broad rally (healthy breadth):

- 60%+ stocks rising
- Cyclical sectors leading (Financials, Industrials, Materials)
- A/D Line making new highs with index
- **Conclusion:** sustainable risk-on regime

#### Narrow rally (narrow leadership):

- Index rising but A/D falling (divergence)
- 5-7 mega-caps dragging entire index
- % above 50MA declining
- **Conclusion:** fragile trend, high risk of correction

#### Sector rotation as signal:

- **Risk-on:** Tech, Consumer Discretionary, Financials leading

- **Risk-off:** Utilities, Staples, Healthcare outperform
- **Inflation shock:** Energy, Materials shoot up
- **Recession fears:** flight to defensive sectors

**Practical example (2023):** January-July: S&P up 20%, but 80% of gains came from 7 stocks (Magnificent 7). Breadth terrible, A/D diverging. Many called for correction. August-October: -10% correction, and only then the market broadened.

## 1.3 Currency Pairs (FX)



What we look at:

- DXY (dollar index)
- EUR/USD (main pair)
- 
- USD/JPY (risk appetite barometer)
- EM FX (sensitive to global liquidity)

How to interpret:

**Strong dollar (DXY ↑):**

- Tightening global financial conditions
- Pressure on emerging markets
- Negative for commodities (denominated in USD)
- Often correlates with risk-off
- **BUT:** in 2022-2023 USD rose on strong US economy → there was risk-on in US equities

**Weak dollar (DXY ↓):**

- Easing global conditions
- Support for EM, commodities, gold
- Often coincides with risk-on
- Capital inflow into non-USD assets

**USD/JPY — special indicator:**

- Yen = traditional safe haven
- **USD/JPY ↑**: risk-on (investors moving from JPY into risk)
- **USD/JPY ↓**: risk-off (flight to yen)
- **Carry trades**: with low BOJ rates, yen is popular for funding, its sharp strengthening breaks positions

**Practical example (August 2024):** BOJ unexpectedly raised rates → USD/JPY fell from 162 to 142 in a week → massive carry trade unwind → S&P 500 -6% in 3 days, VIX spike to 65. Classic FX-triggered selloff.

**1.4 Volatility (VIX and derivatives)****What we look at:**

- **VIX** (implied vol on S&P 500)
- **VVIX** (vol of vol)
- **VIX futures curve** (contango/backwardation)
- **SKEW** (tail risk)

**How to interpret:****VIX < 13-14:**

- Extreme complacency
- Trends can continue for long
- But risk of sudden spikes is high
- Short vol strategies are profitable but dangerous

**VIX 15-20:**

- Normal regime
- Healthy caution present

**VIX > 25:**

- Stress, uncertainty
- Correlations between assets  $\rightarrow 1$  (everything falls together)
- Margin calls, forced selling
- Liquidity crunches

**VIX > 40:**

- Panic, capitulation
- Often good entry points for long term (buy the fear)

**VIX curve shape:**

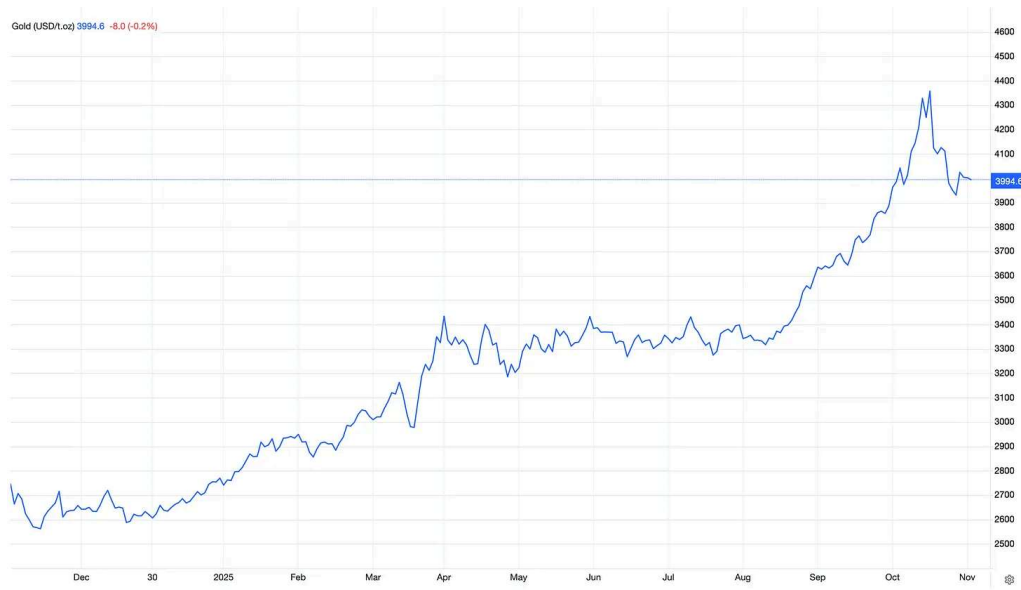
- **Contango (front < back):** normal regime, short vol works
- **Backwardation (front > back):** current fear higher than future, caution
- **Steep backwardation:** active crisis

**VVIX (vol of vol):**

- VVIX > 120-130 with VIX < 15: hidden risks, market calm but nervousness growing
- Leading indicator before VIX spikes

**Practical example (2020):** February: VIX = 14  $\rightarrow$  March: VIX spike to 82 (COVID panic)  $\rightarrow$  huge losses in short vol funds (even complete wipeouts)  $\rightarrow$  by June VIX returned to 30 on Fed stimulus.

**1.5 Commodities**



### What we look at:

- **Oil:** Brent, WTI, crack spreads
- **Gold:** spot, GLD ETF, gold/silver ratio
- **Copper:** “Dr. Copper” - growth indicator
- **Agricultural:** wheat, corn (geopolitics)

### How to interpret:

#### Oil ↑:

- If on strong demand → pro-inflationary signal, risk of CB tightening
- If on supply shock (geopolitics) → stagflationary fears
- If together with stocks → healthy risk-on

#### Oil ↓:

- If on weak demand → concern for economic growth
- If on rising supply → disinflation, positive for purchasing power
- Sharp drop (>20%) often precursor to recession

#### Gold:

- **Real rates** - main driver (inverse correlation)
- Real yields ↓ → gold ↑
- **Stress regimes:** gold rises as safe haven
- **BUT:** in acute crises (margin calls) can temporarily fall
- Gold/silver ratio > 90 → extreme fear



**Copper:**

- “Metal with a PhD in economics”
- Sensitive to global growth (especially China)
- Copper ↑ → optimism about economy
- Copper ↓ → recession fears

**Practical example (2008):** Oil: July \$147 → December \$33 (-78%) on demand collapse. Gold first fell from \$1000 to \$700 (liquidation), then from 2009 started multi-year rally to \$1900 on QE.

## Summarizing Part One

Now you know the **five fundamental indicators** that form the basis of monitoring for any professional trader:

- ✓ **Bond yields** - cost of money and growth expectations
- ✓ **Stock indices and breadth** - trend quality and risk appetite
- ✓ **Currency pairs** - direction of global liquidity
- ✓ **Volatility (VIX)** - level of fear and probability of storms
- ✓ **Commodities** - inflationary vs recessionary shock

These indicators give you **basic understanding** of current market state. But this is just the foundation.

## The Problem: Core Indicators Lag

Here's the catch: **by the time VIX has spiked to 30, stocks have fallen 10%, and yields have reversed - the market is already in stress.** You're reacting, not anticipating.

Professional funds don't make money on reactions. They make money because they see risks **earlier than others**.

**Question:** how do they do this?

**Answer:** they look not only at asset prices, but at what's happening **under the hood** of the market:

- Where are the **cracks** in credit that aren't yet visible in equity?
- How is **liquidity** changing in the system before selling begins?
- Where are **large players positioning**, and where have extremes accumulated?
- What is the **real economy** saying through leading indicators?

These are the metrics that give **early warnings** - weeks before the broad market starts panicking or celebrating.

# What Will Be in Part Two?

In the next issue, we'll cover five advanced metrics that turn basic monitoring into a full-fledged early warning system:

## 1. Credit Spreads - the indicator that doesn't lie

- Why HY spreads predict crises before equity
- How to use HYG/LQD ratio for timing entries/exits
- Credit and equity divergences: when to trust bonds, when to trust stocks
- Real examples: how credit warned of declines in 2018, 2020, 2022

## 2. Liquidity and Market Structure - where systemic risk hides

- MOVE Index: why bond volatility matters more than VIX
- ON RRP and repo rates: where Fed money goes
- Bid-ask spreads: early signal of liquidity problems
- Case March 2020: how liquidity collapse almost broke the system

## 3. Positioning and Capital Flows - contrarian points

- CFTC COT: where extreme positions of large players are
- Put/Call ratio and options skew: what the options market is saying
- Fund flows: when capitulation (outflows) becomes entry signal
- Dealer gamma: how options hedging amplifies or dampens moves

## 4. PMI and Leading Indicators - what will happen in 3-6 months

- Why PMI < 48 almost always portends problems
- China PMI as leading indicator for commodities and EM
- ISM vs S&P 500: correlation with 2-3 month lag
- How to use macro surprise indices

## 5. Central Banks: From Rhetoric to Action

- Fed Funds futures: difference between market expectations and Fed reality
- Real rate (real Fed Funds rate): when policy is restrictive vs accommodative
- CB rhetorical pivots as volatility triggers
- Case 2022: how market didn't believe hawkish Fed for 6 months - and paid dearly

**Bonus:** you'll learn how to combine core and advanced indicators to filter false signals. Because **VIX 30 with stable credit spreads**  $\neq$  **VIX 30 with exploding spreads**. Context is everything.

## What Will Be in Part Three?

In the final issue, we'll bring everything together and build a **practical monitoring system** you can use daily:

### You'll get:

- **Regime-meter:** step-by-step algorithm for determining risk-on / risk-off / transition
- **Daily workflow** (3-5 minutes in the morning)
- **Weekly review** (30 minutes on Sunday)
- **Real cases** with day-by-day analysis: COVID 2020, tightening cycle 2022, false alarm October 2023
- **Printable checklists** - so you don't forget anything
- **Tools and data sources** (free and paid)
- **Common mistakes** and how to avoid them

**Most important:** you'll understand how to **NOT drown in information**. Because looking at 50 indicators every day is overload. We'll show what to look at first, what to check weekly, and what to monitor only when regime changes.

## Homework Before the Next Issue

While you wait for part two, do the following:

### 1. Set up a watchlist Add to TradingView or Investing.com:

- 10Y US Treasury (US10Y)
- S&P 500 / ES futures
- VIX
- DXY (dollar index)
- WTI Crude Oil
- Gold (XAUUSD)

### 2. Conduct "post-mortem" analysis Open charts of these indicators for the last 3 months and ask yourself:

- What regimes dominated? (risk-on, risk-off, transition)
- Were there divergences? (e.g., stocks rising but yields also rising)

- What events moved the indicators? (FOMC, CPI, geopolitics)

### 3. Start keeping a journal Every day write in one sentence:

- “Today’s regime: risk-on / risk-off / uncertain”
- “Main driver: yields / geopolitics / earnings / macro data”

In 2 weeks you’ll see patterns. And after part two, you’ll add advanced metrics to this journal - and the picture will become even clearer.

If you have questions about part one or topics you’d like to see in part two - write in the comments. I’ll try to include them in the next issue.

**See you on the second level!**

AAJ



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